VENTURE CAPITAL

StepStone plays down the need to chase discounts on startup secondaries

By Michael Bodley

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Discounts on venture secondaries **are on the rise**—but that's not influencing StepStone Group's strategy.

The investment firm found that VC fund secondary interests acquired at discounts of more than 15% booked a 3x return, while smaller discounts returned 3.5x, according to a new study it conducted and shared exclusively with PitchBook. StepStone's approach instead: paying more (via a slimmer discount, or even selective premiums) for top secondary stakes.

This is notably counter to venture capital's conventional wisdom of carefully managing portfolio construction and maintaining price discipline—something LPs pay attention to. Investing in startups at reasonable valuations is key to maximizing eventual returns.

But StepStone argues that portfolio construction in the secondaries space is different.

"That certainty is our thesis, that the elite assets, the top couple hundred companies, really matter in terms of the absolute performance of the entire industry," said John Avirett, a partner on StepStone's VC secondaries team. "And if you're not in those, or gaining exposures to those, you will have a very mediocre experience in venture."

And discounts matter even less on direct secondary purchases (startup shares) than on LP fund interests, according to StepStone's findings.

With time between funding rounds stretching out more and more, StepStone argues that a startup's prior valuation—on which a discount is based—is becoming less relevant. Fund stakes, meanwhile, are priced differently and contain multiple assets.

StepStone—which has raised billions of dollars across a number of VC and PE secondaries funds—has cultivated a secondaries strategy **heavy on highly valued and fast-growing startups.** The firm's study comes amid **widening discounts on both direct secondary stakes in startups and LP fund interests.** Macro volatility has increased discounts, especially in less sought-after startups.

The US venture secondaries market was valued at $60 billion in the first quarter by PitchBook, up from $50 billion in 2024.

And the market is not short on investors preferring to bargain-hunt. A steady uptick in VC secondaries transaction volume has led to an influx of new players looking for deals, according to Avirett. He likened the flourishing interest in VC secondaries as a "soup du jour," with discounts driving tourism in the market.

Featured image by the_burtons/Getty

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About Michael Bodley

Michael Bodley is a senior venture capital reporter at PitchBook News, covering top fund managers and developments affecting limited partners. Based in New York, Michael previously led TheStreet.com's crypto coverage. He also reported for Hedge Fund Alert after breaking into journalism at the San Francisco Chronicle. Originally from Baltimore, Michael graduated from Elon University.

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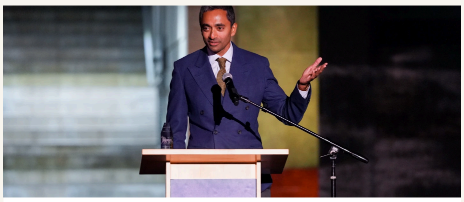

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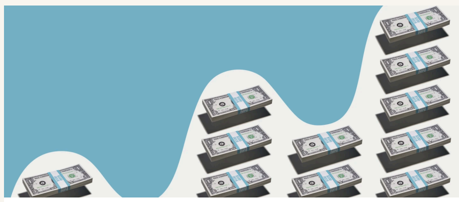

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